Following the recommendations of the *Second Working Group on Money Supply (SWG)* in 1977, RBI has been publishing four *monetary aggregates* (component of money)– M_1, M_2, M_3 and M_4 (are basically short terms for the Money-1, Money-2, Money-3 and Money-4) besides the Reserve Money. These components used to contain money of differing liquidities:

M_1 = Currency & coins with people + Demand deposits of Banks (Current & Saving Accounts) + Other deposits of the RBI.

M_2 = M_1+ Demand deposits of the post offices (i.e. saving schemes' money).

M_3 = M_1+ Time/Term deposits of the Banks (i.e. the money lying in the Recurring Deposits & the Fixed Deposits).

M_4 = M_3+ total deposits of the post offices (both, Demand and Term/Time Deposits).

Now the RBI has started[48] publishing a set of new monetary aggregates following the recommendations of the *Working Group on Money Supply: Analytics and Methodology of Compilation* (Chairman: Dr. Y.V. Reddy) which submitted its report in June 1998. The Working Group recommended compilation of four monetary aggregates on the basis of the balance sheet of the banking sector in conformity with the norms of progressive liquidity: M_0 (monetary base), M_1 (narrow money), M_2 and M_3 (broad money). In addition to the monetary aggregates, the Working Group had recommended compilation of three liquidity aggregates namely, L_1, L_2 and L_3, which include select items of financial liabilities of non-depository financial corporations such as development financial institutions and non-banking financial companies accepting deposits from the public, apart from post office savings banks. The **New Monetary Aggregates** are as given below:

Reserve Money (M_0) = Currency in Circulation + Bankers' deposits with the RBI + 'Other'[49] deposits with the RBI.

Narrow Money (M_1) = Currency with the Public + Demand Deposits with the Banking System + 'Other' Deposits with the RBI.

M_2=M_1 + Savings Deposits of Post-office Savings Banks.

Broad Money (M_3) = M_1 + Time Deposits with the Banking System.